

SENATE CHAMBER

STATE OF OKLAHOMA

DISPOSITION

☒ FLOOR AMENDMENT

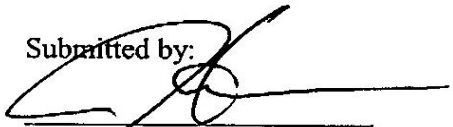
No. 1

☐ COMMITTEE AMENDMENT

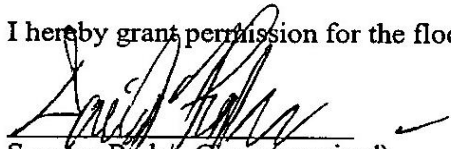
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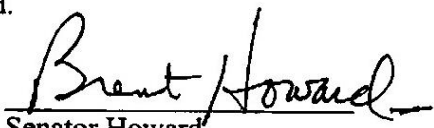
I move to amend Senate Bill No. 2060, by substituting the attached floor substitute (Request # 3808) for the title, enacting clause, and entire body of the measure.

Submitted by:


Senator Haste

I hereby grant permission for the floor substitute to be adopted.


Senator Rader, Chair (required)


Senator Howard

Senator Deever

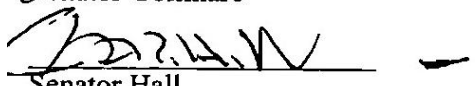
Senator Jett

Senator Gillespie


Senator Kirt


Senator Gollihare


Senator Mann


Senator Hall

Senator Sacchieri

Senator Hamilton

Senator Paxton, President Pro Tempore

Senator Daniels, Majority Floor Leader

Note: Revenue and Taxation committee majority requires six (6) members' signatures

Haste-BRC-FS-SB2060
3/12/2026 4:24 PM

(Floor Amendments Only)

Date and Time Filed: 3/23/26

10:30am KH

☐ Untimely

☐ Amendment Cycle Extended

☐ Secondary Amendment

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR

SENATE BILL NO. 2060

By: Haste of the Senate

and

Caldwell (Trey) of the
House

FLOOR SUBSTITUTE

[public infrastructure districts - requirements -
authority - actions - bonds - codification -
effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 11 O.S. 2021, Section 39-101, is
amended to read as follows:

Section 39-101. This act shall be known and may be cited as the
~~Improvement District Act~~ "Building Utilities and Infrastructure for
Long-term Development (BUILD) Act".

SECTION 2. AMENDATORY 11 O.S. 2021, Section 39-102, is
amended to read as follows:

Section 39-102. As used in the ~~Improvement District~~ BUILD Act,
the singular includes the plural and:

1 1. "Acquired" means the acquisition of property or interests in
2 property by purchase, gift, condemnation or other lawful means;

3 2. "City" means any city or town incorporated pursuant to the
4 laws of ~~Oklahoma~~ this state;

5 3. ~~"Engineer" means a city engineer, city official, employee or~~
6 ~~other person competent to advise and assist the governing body in~~
7 ~~planning and making an improvement;~~

8 4. "Cost" means any cost necessarily or reasonably incurred in
9 making the improvement, including, but not limited to, cost of:

- 10 a. preparation of preliminary reports,
- 11 b. preparation of plans and specifications,
- 12 c. preparation and publication of notices of hearings,
- 13 resolutions, ordinances and other proceedings,
- 14 d. fees and expenses for engineers, attorneys, laborers
- 15 and other personal services,
- 16 e. rights-of-way, materials and other lawful expenses
- 17 incurred in making any improvement, and
- 18 f. capitalized interest, funding of reserves, premiums
- 19 for reserve surety bonds, and obtaining bond
- 20 insurance, letters of credit or other credit
- 21 enhancements or liquidity instruments;

22 5. 4. "District" means an ~~area designated by the governing body~~
23 ~~to be benefited by an improvement and subjected to payment of~~
24 ~~special assessments for all or a portion of the cost of the~~

1 improvement district or a master development district. Any
2 reference in the BUILD Act to a district shall be construed to refer
3 to the specific entity created under Section 39-103 of this title.
4 Any power, duty, or authority granted to a district or the governing
5 body of the district shall be exercised independently by the board
6 of supervisors for a master development district, and by the
7 municipal governing body for an improvement district;

8 5. "Engineer" means a city engineer, city official, employee,
9 or other qualified person employed by a public or private entity who
10 is competent to advise and assist the governing body of a city or
11 master development district in planning and making an improvement;

12 6. "Governing body" means the city council, city commission or
13 board of trustees of an incorporated city or town, or the board of
14 supervisors of a master development district;

15 7. "Governing document" means the document governing the
16 creation of an improvement district or master development district;

17 8. "Improve" means to construct, reconstruct, maintain,
18 restore, replace, renew, repair, install, equip, extend, purchase,
19 alter or otherwise perform any work which provides a new facility,
20 or enhances, extends or restores the value or usefulness of an
21 existing facility;

22 ~~8.~~ 9. "Improvement" means any type of improvement made by
23 authority of ~~this Improvement District Act~~ the BUILD Act and
24

1 includes reimprovement of any prior improvement made pursuant to the
2 BUILD Act or any other act;

3 10. "Improvement district" means an area designated by the
4 governing body of a city to be benefited by an improvement and
5 subjected to payment of special assessments for all or a portion of
6 the cost of the improvement;

7 11. "Improvement plan" means a comprehensive report prepared by
8 an engineer outlining the proposed improvements, a preliminary plat
9 or map of the district, an estimate of costs, and a plan for the
10 financing, construction, and maintenance of the improvements;

11 ~~9.~~ 12. "Mail" means by first-class mail;

12 13. "Master development district" means an area within a city,
13 municipality, or unincorporated area of a county with defined limits
14 and boundaries that operates separately and distinctly from the
15 city, municipality, or county and is subject to the provisions of
16 the BUILD Act including, but not limited to, special assessments
17 against real property in such district benefited by an improvement
18 for the financing, repayment, or maintenance of the costs of the
19 master development district's public improvements;

20 14. "Publish" or "publication" means printing in a newspaper
21 which maintains an office in the city or town and is of general
22 circulation within the city or town, or, if there is no newspaper
23 which maintains an office in the city or town, a newspaper of
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1 general circulation within the city or town and in two separate
2 issues thereof, at least seven (7) days apart;

3 15. "Street" means any highway, street, alley, boulevard,
4 avenue, right-of-way, public ground, or other public facility, or
5 any part thereof;

6 16. "Surface property owner" means the owner or owners of
7 record of the surface of the property included in a proposed master
8 development district or improvement district; and

9 ~~10. 17. "Trustee" means a city or master development district~~
10 ~~acting pursuant to this act;~~

11 ~~11. "Street" means any highway, street, alley, boulevard,~~
12 ~~avenue, right of way, public ground, or other public facility, or~~
13 ~~any part thereof; and~~

14 ~~12. "Publish" or "publication" means printing in a newspaper~~
15 ~~which maintains an office in the city or town and is of general~~
16 ~~circulation within the city or town, or, if there is no newspaper~~
17 ~~which maintains an office in the city or town, a newspaper of~~
18 ~~general circulation within the city or town and in two (2) separate~~
19 ~~issues thereof, at least seven (7) days apart the BUILD Act.~~

20 SECTION 3. AMENDATORY 11 O.S. 2021, Section 39-103, is
21 amended to read as follows:

22 Section 39-103. A. The governing body of any city may create
23 one or more improvement districts for the purpose of making or
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1 causing to be made any improvement or combination of improvements
2 that confer special benefit upon property within the district.

3 B. A master development district shall be created upon the
4 approval of an application to the relevant governing body of a city
5 or county in which the proposed master development district is
6 situated, pursuant to the conditions in this subsection. Upon
7 receipt of an application for a proposed master development
8 district, the governing body of any city or board of county
9 commissioners of any county may approve the creation of the master
10 development district if the applicant demonstrates the following:

11 1. One hundred percent (100%) of the surface owners within the
12 boundaries of the proposed master development district have
13 consented in writing to its creation and approved the master
14 development district's governing document and improvement plan;

15 2. The governing document prepared by the applicant includes
16 all of the provisions in subsection F of this section; and

17 3. An improvement plan for the district that is conducive to
18 the long-term development of the city or county, as determined by
19 the governing board of the city or board of county commissioners of
20 the county.

21 C. If the proposed master development district is located
22 wholly within an unincorporated area of a county, the county may
23 approve the creation of the master development district by vote of
24 the board of county commissioners or other county entity designated

1 by the board of county commissioners, under the same conditions
2 provided in this section. If the proposed master development
3 district is located wholly within the municipal limits of a city,
4 the city may approve the creation of the master development district
5 by vote of the governing body of the city. If the proposed master
6 development district is partially within an unincorporated area of a
7 county and partially within the municipal limits of a city,
8 application for the proposed master development district shall be
9 made to both the board of county commissioners and the city, and
10 approval by both shall be required for the creation of the master
11 development district.

12 D. Any protest challenging the creation of a master development
13 district shall be filed within ten (10) business days following the
14 official approval of the district by the governing body, unless
15 otherwise preempted by law.

16 E. A master development district may adopt its own bylaws,
17 rules, and regulations for the conduct of its business and the use
18 of its facilities.

19 F. A master development district's governing document shall
20 create an independent board of supervisors, which shall be the
21 governing body of the master development district. The governing
22 document shall include provisions that:
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1 1. Restrict members of the independent board of supervisors and
2 their immediate family members from holding an interest in any bond
3 or other securities issued by the board; and

4 2. Delineate provisional officers of the board and a process
5 for transferring control of the board to surface property owners of
6 the district within a reasonable time frame, not to exceed ten (10)
7 years from the initial board appointments.

8 G. The board of supervisors of a master development district
9 shall have the same rights and powers over a master development
10 district that the governing body of a city has over improvement
11 districts, and shall have such other rights and powers as may be
12 provided by law. The board of supervisors of a master development
13 district shall have the power to levy, impose, and collect special
14 assessments on the property within the district for the purpose of
15 financing, operating, maintaining, repairing, or replacing district
16 improvements, including the cost of bonds, reserves, and other
17 obligations incurred by the district. All assessments levied by the
18 master development district pursuant to the BUILD Act shall
19 constitute a lien on the real property against which it is assessed
20 from the date of the levy until paid, equal to the lien of all
21 state, county, and municipal taxes, including ad valorem, and senior
22 to all other liens or encumbrances, including mortgage liens.

23 H. The governing body of an improvement district or the board
24 of supervisors of a master development district may make such

1 improvements or combinations of improvements as it deems beneficial
2 to the district. Such improvement or combination of improvements
3 may include the following, without limitation because of
4 enumeration:

5 1. Acquisition of property or interest in property when
6 necessary for any of the purposes authorized by the ~~Improvement~~
7 ~~District~~ BUILD Act;

8 2. Opening, creating, widening and extending or altering of
9 streets to improve paving, and surfacing, constructing and
10 reconstructing gutters, curbs, sidewalks, crosswalks, driveway
11 entrances and structures, drainage facilities, and service
12 connections from sewers, water, gas, electricity and other utility
13 mains, conduits or pipes;

14 3. Constructing or improving main and lateral storm water
15 drains and sanitary sewer systems and facilities;

16 4. Installation or improvement of street lights and street
17 lighting systems;

18 5. Construction or improvement of water mains and waterworks
19 systems;

20 6. Improvement of parks, playgrounds, and recreational
21 facilities;

22 7. Improvement of any street, parking or other facility by
23 landscaping, or planting of trees, shrubs and other plants;
24

1 8. Constructing or improving dikes, levees and other flood
2 control works, gates, lift stations, bridges and streets appurtenant
3 thereto;

4 9. Constructing or improving vehicle and pedestrian bridges,
5 overpasses and tunnels;

6 10. Constructing or improving retaining walls and area walls on
7 public ways or land abutting thereon;

8 11. Constructing or improving property for off-street parking
9 facilities, including construction and equipment of buildings
10 thereon;

11 12. Constructing or improving pedestrian malls; ~~or~~

12 13. Acquiring, constructing, or improving libraries; or

13 14. Constructing or improving offsite facilities or
14 infrastructure serving all or a portion of land within a district;
15 notwithstanding that, such facilities or infrastructure may also
16 serve areas outside a district, but subject to cost apportionment
17 requirements of subsection A of Section 39-110 of this title.

18 Nothing in the BUILD Act shall be construed as authorizing a
19 master development district to pledge the full faith and credit of
20 the state or any political subdivision. Obligations of the district
21 shall be payable solely from the revenues and assessments of the
22 master development district.

1 SECTION 4. NEW LAW A new section of law to be codified

2 in the Oklahoma Statutes as Section 39-103.2 of Title 11, unless
3 there is created a duplication in numbering, reads as follows:

4 A. An improvement district or master development district is
5 authorized to purchase, construct, acquire, own, operate, maintain,
6 repair, improve, or extend inside and outside its boundaries any and
7 all works, improvements, facilities, plants, equipment, and
8 appliances necessary to accomplish the purposes of the district
9 authorized by law, including all works, improvements, facilities,
10 plants, equipment, and appliances incident, helpful, or necessary
11 to:

12 1. Supply water for municipal uses, domestic uses, power,
13 commercial purposes, and all other beneficial uses or controls;

14 2. Collect, transport, process, dispose of, and control all
15 domestic, industrial, or commercial wastes whether in fluid, solid,
16 or composite state;

17 3. Gather, conduct, divert, and control local storm water or
18 other local harmful excesses of water in a district;

19 4. Irrigate the land in a district;

20 5. Alter land elevation in a district; and

21 6. Navigate waters of the district.

22 B. An improvement district or master development district may
23 enter into contracts with public or private entities for the
24 construction, operation, management, maintenance, or provision of

1 facilities and services related to district facilities and
2 improvements.

3 C. To ensure the financial stability and legal status of a
4 master development district and the security of its assessments, the
5 governing body of the approving city or board of county
6 commissioners of the approving county, or both, as provided in
7 subsection C of Section 39-103 of Title 11 of the Oklahoma Statutes,
8 and the board of supervisors of the master development district
9 shall enter into a master development agreement.

10 1. The master development agreement shall constitute a binding
11 contract and shall legally vest in the master development district
12 development rights including, but not limited to, permitted uses,
13 densities, phasing schedules, development standards, and intensities
14 of use, for the duration of the master development district's
15 existence. The city or county shall not unilaterally apply
16 subsequent changes to zoning, land-use regulations, impact fees, or
17 building codes that substantially impair the master development
18 district's ability to generate the revenue necessary to service its
19 bonded indebtedness.

20 2. The city or county shall finalize and execute the master
21 development agreement within sixty (60) days of the date the master
22 development district is created by vote of the applicable governing
23 body; provided, such timeline may be extended by mutual agreement of
24 the city or county and the master development district. To ensure

1 statewide consistency and reduce administrative delay, the State
2 Treasurer, in consultation with the Council of Bond Oversight, the
3 Oklahoma Development Finance Authority, and any other officials
4 needed, shall develop and make publicly available a Standard Master
5 Development Agreement template to serve as the required basis for
6 all such agreements. Any modifications to the standard template by
7 a city or county shall be limited to project-specific technical
8 infrastructure requirements and shall not impair the core vested
9 rights or the financial security of the master development district.

10 D. A master development district may acquire, lease, sell,
11 convey, or otherwise dispose of real or tangible property, including
12 for facilities, parks, streets, or other improvements as permitted
13 by law.

14 E. A master development district may covenant with bondholders,
15 trustees, or holders of other obligations as to the operation,
16 maintenance, and collection of assessments, and other acts necessary
17 to secure the payment of such bonds.

18 SECTION 5. AMENDATORY 11 O.S. 2021, Section 39-115, is
19 amended to read as follows:

20 Section 39-115. A. To pay all or any part of the cost of ~~the~~
21 ~~improvement~~ improvements in an improvement district, the governing
22 body of a city may issue, in the name of the city or a public trust
23 entity acting on behalf of the city, bonds in one or more series and
24 in amounts not exceeding the total cost of the ~~improvement~~

1 improvements to be financed by each series, including costs of
2 issuance, capitalized interest, funding of reserves, premiums for
3 reserve surety bonds, and obtaining bond insurance, letters of
4 credit or other credit enhancement or liquidity instruments in
5 connection with each series.

6 B. To pay all or any part of the cost of improvements in a
7 master development district, the master development district may
8 issue, in the name of the district or a public trust entity acting
9 on behalf of the master development district, bonds in one or more
10 series and in amounts not exceeding the total cost of the
11 improvements to be financed by such series, including costs of
12 issuance, capitalized interest, funding of reserves, premiums for
13 reserve surety bonds, and obtaining bond insurance, letters of
14 credit, or other credit enhancement or liquidity instruments in
15 connection with each series.

16 C. If ~~the~~ bonds issued pursuant to subsections A and B of this
17 section recite that:

18 1. The proceedings relating to making the improvement and
19 levying the assessments to pay for the improvement have been done in
20 compliance with law; and

21 2. All prerequisites to the fixing of the assessment lien
22 against the tract or parcel of land benefited by the improvement
23 have been performed~~+~~+

24 such recital shall be conclusive evidence of the facts recited.

1 ~~B. The bonds~~

2 D. Bonds issued pursuant to this section shall:

3 1. Recite the terms and conditions for their issuance;

4 2. Be payable from the money collected from the assessment
5 authorized in ~~Section~~ Sections 39-111 and 39-112 of this title;

6 3. Bear a rate of interest not less than two percent (2%) of
7 the rate of interest on the deferred installments of the assessment;
8 and

9 4. Mature not later than thirty (30) years after the date of
10 issuance of the bonds of a particular series.

11 ~~C.~~ E. Payment of the bonds issued by a city or public trust on
12 behalf of a city for a storm sewer, lighting, street, alley, curb,
13 gutter or sidewalk improvement may be supplemented from gasoline tax
14 money remitted by the State of Oklahoma on or before a date not more
15 than twelve (12) months after the last deferred installment of an
16 assessment is due from the owner of a tract or parcel of land so
17 assessed. Payment of the bonds issued for a water, sewer, gas,
18 electric or other improvement may be supplemented from the funds
19 received by the water, sewer, gas, electric or other facility on or
20 before a date not more than twelve (12) months after the last
21 deferred installment of an assessment is due from the owner of a
22 tract or parcel of land so assessed.

23 ~~D.~~ F. The bonds may be issued to the contractor in payment for
24 the construction of the improvement or may be issued and sold:

1 1. In payment of the city's or master development district's
2 proportion of the cost of the improvement;

3 2. In payment of the proportionate cost if the improvement is
4 done in cooperation with another governmental agency or master
5 development district;

6 3. In payment of the construction of the improvement done under
7 contract; or

8 4. In reimbursement to the city or master development district
9 if the city or master development district constructed the
10 improvement with city or district owned or leased equipment and city
11 or district employees.

12 ~~E.~~ G. Any city or master development district may contract for
13 the issuance and sale of bonds or assignable certificates.

14 ~~F.~~ H. Bonds or assignable certificates may be sold at a public
15 or private sale at a discount.

16 ~~G.~~ I. After the passage of thirty (30) days from the
17 publication of the ordinance or resolution authorizing the issuance
18 of district bonds, any action attacking the validity of any
19 proceedings had or taken by the governing body of the city or master
20 development district preliminary to and in the authorization and
21 issuance of the bonds described in the notice is perpetually barred.

22 J. Bonds issued by master development districts pursuant to
23 this section shall not:
24

1 1. Constitute public debt, liability, or obligation on behalf
2 of a municipality or county; or

3 2. Be considered for any purpose of any constitutional,
4 statutory, or charter debt limitation applicable to a municipality,
5 county, or school district, or impair the bonding authority of the
6 same.

7 K. A master development district created under the BUILD Act
8 shall be a body corporate and politic and a political subdivision of
9 the state. A master development district shall have the power to
10 sue and be sued, to plead and be impleaded, to contract and be
11 contracted with, and to have a corporate seal.

12 SECTION 6. This act shall become effective November 1, 2026.

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14 60-2-3808 BRC 3/23/2026 11:06:06 AM

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